

Loan Application Version: 1.0



Personal Loan Application System



Business Requirement Specification (BRS)

1. Project Overview

Objective

The objective of this project is to develop a secure and scalable Personal Loan Application System that enables customers to apply for personal loans online. The system manages the complete loan lifecycle, from customer registration to loan disbursement, while following banking standards such as the Maker-Checker approval process.

2. Functional Requirements

2.1 Who Can Use the System?

The following actors interact with the system:

Actor	Description
Customer	Applies for loans, uploads documents, tracks loan status.
Loan Officer	Verifies customer information and documents.
Credit Manager / Branch Manager	Approves or rejects loan applications.
Finance Team	Disburses approved loans.
Admin	Manages users, loan products, and reports.
Third-Party Services	PAN/Aadhaar verification, Credit Score, Email, SMS, Bank Verification.

2.2 User Roles

Customer

- Register
- Login
- Complete Profile
- Apply for Loan
- Upload Documents
- Track Loan Status

Loan Officer (Maker)

- View Assigned Applications
- Verify Documents
- Verify Customer Details
- Request Additional Documents
- Add Verification Remarks

Credit Manager (Checker)

- Review Verified Applications
- Approve Loan
- Reject Loan
- Add Approval Remarks

Finance Team

- Generate Sanction Letter
- Generate EMI Schedule
- Disburse Loan Amount

Read Only

- View Loan Applications
- View Reports
- No Create/Update/Delete Permission

Admin

- Manage Users
 - Manage Roles
 - Manage Loan Products
 - View Reports
 - Configure System Settings
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2.3 Customer Loan Application Process

Step 1

Customer Registration

Step 2

Login

Step 3

Complete Customer Profile

Step 4

Check Loan Eligibility

Step 5

Select Loan Amount & Loan Tenure

Step 6

System Calculates EMI

Step 7

Upload Required Documents

Step 8

Submit Loan Application

Step 9

Loan Officer Verification

Step 10

Manager Approval

Step 11

Loan Sanction

Step 12

Loan Disbursement

Business Flow

Customer Register

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Login

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Complete Profile

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Eligibility Check

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Select Loan Amount

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EMI Calculation

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Upload Documents

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Submit Application

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Loan Officer Verification

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Manager Approval

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Loan Sanction

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Loan Disbursement

2.4 Required Documents

Identity Proof

- PAN Card
- Aadhaar Card
- Passport

Address Proof

- Aadhaar Card
- Passport
- Driving Licence
- Electricity Bill

Income Proof

- Last 3 Salary Slips

- Income Tax Return (Self-employed)

Bank Statement

- Last 6 Months Bank Statement

Employment Proof

- Company ID Card
- Employment Letter

Photograph

- Passport Size Photo
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2.5 Loan Approval Process

Customer

Submits Loan Application

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Loan Officer (Maker)

Verifies Documents

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Credit Manager (Checker)

Approves or Rejects Loan

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Finance Team

Disburses Loan Amount

2.6 EMI Calculation

The EMI is calculated using:

- Loan Amount
- Interest Rate
- Loan Tenure

System Output:

- Monthly EMI
 - Total Interest
 - Total Repayment Amount
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2.7 Loan Rejection Process

If the loan is rejected:

- Update Loan Status to REJECTED
- Save Rejection Reason
- Notify Customer
- Store Approval History
- Allow Customer to Apply Again

Possible Rejection Reasons:

- Low Credit Score
 - Insufficient Income
 - Invalid Documents
 - Incomplete Documents
 - Existing Loan Burden
 - Eligibility Criteria Not Met
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2.8 Multiple Loan Applications

Business Rule:

- Customer can submit multiple loan applications.

- Customer can apply again after rejection.
 - Customer cannot have more than one Active Personal Loan at the same time.
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2.9 Edit Loan Application

Business Rule:

Customer can edit the application only before verification begins.

Status	Can Edit
DRAFT	Yes
SUBMITTED	Yes
UNDER_VERIFICATION	No
APPROVED	No
REJECTED	No
DISBURSED	No

3. Business Rules

- Maker cannot approve the loan.
 - Checker cannot modify customer details.
 - Only Admin can manage users and roles.
 - Every loan application must have a status.
 - Every approval or rejection must be recorded.
 - Every uploaded document must be linked to a loan application.
 - Customer receives notifications for every major status update.
 - One active Personal Loan is allowed per customer.
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4. Future Enhancements

- Credit Score Integration

- Aadhaar Verification
 - PAN Verification
 - SMS Notification
 - Email Notification
 - WhatsApp Notification
 - Digital Signature
 - Loan Pre-Closure
 - Loan Foreclosure
 - Payment Gateway
 - AI-based Eligibility Prediction
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Document Version

Version: 1.0

Project: Personal Loan Application System

Status: Requirement Analysis Completed